

Amazon.com Inc. (NASDAQ: AMZN)

\$964.91 USD (As of 06/12/17)

Zacks Rank 3-Hold

Style: Value: **F** | Growth: **A** | Momentum: **B** | VGM: **B**
Data Overview

52 Week High-Low	\$1,011.34 - \$691.36
20 Day Average Volume	3,706,529
Beta	1.47
Market Cap	461.20 B
Dividend / Div Yld	\$0.00 / 0.00%
Industry	Internet - Commerce
Industry Rank	38 / 265 (Top 14%)
Current Ratio	1.06
Debt/Capital	26.19%
Net Margin	1.81%
Price/Book (P/B)	21.57
Price/Cash Flow (P/CF)	40.50
Earnings Yield	0.67%
Debt/Equity	0.35

Value Score
F

P/E (F1)	146.84
P/E (F1) Rel to Industry	115.48
PEG Ratio	5.33
P/S (F1)	2.78
P/S (TTM)	3.23
P/CFO	40.50
P/CFO Rel to Industry	34.44
EV/EDITDA Annual	35.81

Growth Score
A

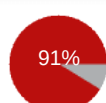
Proj. EPS Growth (F1/F0)	35.96%
Hist. EPS Growth (Q0/Q-1)	8.35
Qtr CFO Growth	-140.74
2 Yr CFO Growth	1,245.67
Return on Equity (ROE)	12.07%
(NI - CFO) / Total Assets	-10.88
Asset Turnover	1.76

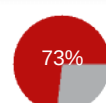
Momentum Score
B

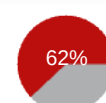
1 week Volume change	16.65%
1 week Price Cng Rel to Industry	-6.12%
(F1) EPS Est 1 week change	0.00%
(F1) EPS Est 4 week change	-1.94%
(F1) EPS Est 12 week change	-8.28%
(Q1) EPS Est 1 week change	0.00%

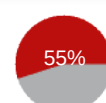
Summary

Amazon is one of the largest online retailers in the world. The company delivered strong first quarter results with both earnings and revenues beating the Zacks Consensus Estimate. Over the last one year, the stock has underperformed the Zacks Electronic Commerce industry. Amazon is driving value across all its businesses and especially the retail business remains very hard to beat on price, choice and convenience. The company has a solid loyalty system in Prime and its FBA strategy, and content addition continues to add selection to Prime memberships. The AWS generates much higher margins than retail, so it has a very positive impact on Amazon's profitability. Devices and IoT is also a potential growth area. However, Prime saturation in the U.S. market and competition in online retail remains concern.

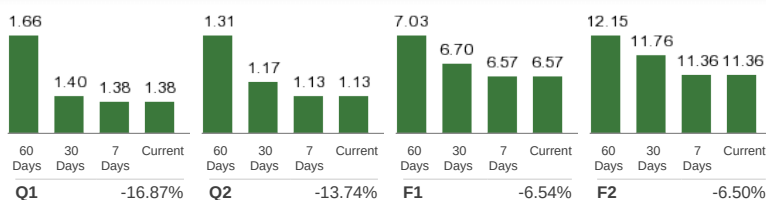
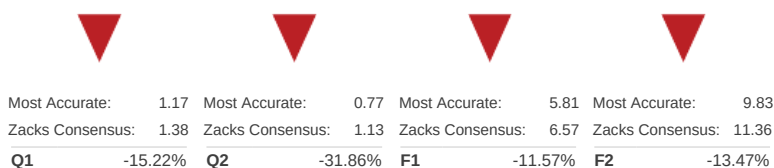
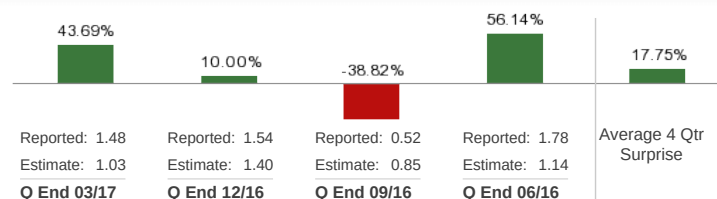
Elements of the Zacks Rank
Agreement Estimate Revisions (60 days)

Q1 (Current Qtr)

Revisions: 11
Up: 1 Down: 10

Q2 (Next Qtr)

Revisions: 11
Up: 3 Down: 8

F1 (Current Year)

Revisions: 13
Up: 5 Down: 8

F2 (Next Year)

Revisions: 11
Up: 5 Down: 6

Magnitude Consensus Estimate Trend (60 days)

Upside Zacks Consensus Estimate vs. Most Accurate Estimate

Surprise Reported Earnings History


Overview

Seattle, Washington-based Amazon.com, Inc. is one of the largest online retailers, with extensive operations in North America, now spreading across the globe. The company reports revenue under three broad heads—North America, International and AWS, which generated 59% and 32% and 9% of 2016 revenue, respectively. North America and International are further divided on the basis of Media, Electronics and other General Merchandise (EGM), and Other (basically non-retail revenue from infrastructure services, external seller sites, co-branded credit card agreements and miscellaneous marketing and promotional activities).

Amazon targets three categories of customers—consumers, sellers and website developers. Consumers are offered variety, convenience and free delivery of goods displayed on the company's websites. Some of the websites hosted include amazon.com, amazon.co.uk, amazon.de, amazon.fr, amazon.co.jp, amazon.ca and amazon.cn. The agreements with sellers are varied, enabling them to use the company's websites to either sell their merchandise directly, or redirect customers to the sellers' own branded websites. In case of the latter arrangement, Amazon earns a fee for the sales thus generated. Website developers are offered technology infrastructure through Amazon Web Services.

While books, music and movies generate the largest chunk of revenue, the company offers a variety of other products, including auto parts, toys, electronic gadgets, cell phones, software, home furnishings, apparel, jewelry, health and beauty aids, prescription drugs, groceries and food. Users can also download books, games, music and films on their PCs, Amazon's tablets and other handheld devices.

Competition comes in the form of traditional retailers, other online retailers, media companies, web portals, search engines, e-commerce websites, companies offering infrastructure, web services, information storage and computing services, and companies doing business with media devices.



Reasons To Buy:

- ▲ Amazon.com is **one of the largest e-commerce companies** in the world. Although the primary product line was books at first, the company rapidly diversified into a host of other product categories. The current focus is on building video content, primarily for Prime subscribers because the growth prospects in that market are considerable. Product selection, a superior user experience, bargains and customer feedback have helped the company build a strong position for itself in the fast-growing ecommerce market. The growth of the e-commerce industry with consumers increasingly buying things online has proved to be favorable for the company. While the big brands may build their own online stores over time, a platform like Amazon allows discovery by new buyers. Smaller players are far more dependent on Amazon as they don't have the resources that Amazon has to invest in technology and fulfillment to generate the kind of reach that Amazon can deliver. Moreover, the market is in the early growth phase (considering opportunities in international markets), so the company's high growth rates are likely to be sustained over the next few years.
- ▲ Amazon is the leading provider of cloud infrastructure as a service to enterprise customers. The **Amazon Web Services (AWS) business** as it is called was up 3.5% sequentially and a massive 42.7% year over year with revenue share at nearly 10% in the first quarter of 2017. Even more encouraging is the fact that AWS generates much stronger margins than the traditional retail business, which should remain a positive for the company's profitability as it continues to grow in the mix. This is despite the fact that Amazon has been consistently slashing prices to deal with growing competition, particularly from Microsoft and Google.
- ▲ Amazon has increased focus on the **platform approach**. The company has built its position as a top retailing platform where it acquires goods at a wholesale price and sells these in retail. It has the resources to drive out middlemen, which would offer more to producers and also keep higher margins for itself. Amazon has been moving in that direction with Amazon Publishing and Amazon Studios. Its push into groceries is intended to have a similar effect and programs like Dash will see loyal customers sticking to Amazon. On the cloud computing front, Amazon is miles ahead of the market in the fast-growing infrastructure as a service (IaaS) segment with AWS. The company's early start allowed it to get a large number of customers on board and because of the significant costs of switching to other vendors, Amazon has managed to lock them in. The fact that it continues to lower prices to below-industry levels further supports this lock-in, which in turn increases their dependence on it. In 2016, Salesforce selected AWS as its preferred public cloud infrastructure provider to run its core services like Sales Cloud, Service Cloud, App Cloud, Community Cloud, and Analytics Cloud, further validating Amazon's strength in cloud computing. The other platform that Amazon uses to drive sales is the Amazon Prime membership. Prime memberships help in repeat sales of not just general merchandise but also media (books, music, video, etc). Amazon continues to push advantages exclusively to Prime members thus encouraging them to spend more on Amazon. This in turn lures more users to Prime and generates increased sales for Amazon.
- ▲ Amazon's **devices strategy** was on a slightly shaky ground following the not-very-successful Fire phone, but this did not deter the company. In late 2014, it launched the voice-controlled personal assistant cum ordering agent Echo. It has converted the nascent smart home market into a potential area of growth, in a very short time, backed by its Alexa-powered Echo devices. Amazon is making Alexa the central point of connecting IoT devices used in any household. It appears that Echo is well poised to penetrate every stream of business on the back of Amazon's robust performance. The company has accelerated signing on third-party device makers, so that these companies integrate Amazon's voice assistant – Alexa – which brings them into the respective ecosystems. More than 50% of Americans have Prime memberships (meaning that they are heavy Amazon users), so this position can be leveraged by Amazon to drive penetration. It's also an important method of collecting householder information, since Alexa is used to listen to commands and store everything that it hears in the cloud. At any rate, this is a far cry from the modest e-reader that kicked off its devices strategy. As the market started giving way to multi-use tablets, Amazon adapted quickly to launch its own versions. The company went to great lengths to push its tablets, even offering them for free at times. In the third quarter, Amazon's tablet market share jumped to 7.3% and was only behind Apple and Samsung (IDC). A few years back, Amazon may not have needed its own devices but the situation is different today with competing platforms from Apple and Google also operating their own stores and selling digital media products.
- ▲ As a retailer of **gaming products**, Amazon has been sprucing up its capabilities over the past few years. To this end, it spent close to a billion dollars to buy Twitch, which is one of the leading gaming platforms (over 100 million unique visitors per month and an average view time of 106 minutes per person per day). Amazon has launched a free, cross-platform 3D game engine called Lumberyard that developers can use to make games, leveraging the compute and storage capabilities of AWS and the Twitch fan base. Lumberyard is based on CryEngine, which Amazon picked up last year. Interestingly, Amazon intends to monetize only for AWS usage, which could make the platform popular with smaller independent players as well as large gaming companies and for multiplayer games. The company has an app called Underground that mainly offers free games and also apps for Amazon, Android and some Blackberry devices. The app is currently a loss leader as Amazon pays the developer for the minutes used while the user gets it free. However, the company says it is partially monetized when users see ads or buy another item (the app doubles as an Amazon marketplace). At some point, there may be AWS integration for developers, when the current investment will pay off big time.
- ▲ The **International segment** balances out the domestic business. This is the stronger of the two segments, generating double-digit year-over-year growth right through the recession and thereafter. The Electronics and General Merchandise segment within International remains a major contributor, continuing to grow at a strong double-digit rate. Amazon has been introducing several new products for international markets that are expected to drive demand. It is also building fulfillment centers to cater to the increase in

Amazon.com is strengthening its leadership position in the e-commerce segment with innovation in delivery and logistics, broadening of its product selection, device strategy, international expansion and the Prime membership program.

demand. EGM sales have been growing at a much faster rate than Media, but this is likely because of the paucity of media products in local languages. Amazon has been working on this aspect and we are likely to see improvements going forward. We expect the growing international market to continue to drive sales over the long term, as opportunities abound.

- ▲ Amazon has accelerated its push in the **logistics business**. Recently, the company announced that it will build its first air cargo hub at Cincinnati/Northern Kentucky International Airport. The move underscores Amazon's accelerated push toward building its own in-house shipping and logistics service to support the complex network of fulfillment, logistics and delivery systems that it has been building. News stories from Reuters, Bloomberg and others had earlier shown that the Alexa-powered Echo devices. Amazon is making Alexa the central point of connecting IoT devices used in any household. It appears that Echo is well poised to penetrate every stream of business on the back of Amazon's robust performance. The company has accelerated signing on third-party device makers, so that these companies integrate Amazon's voice assistant – Alexa – which brings them into the respective ecosystems. More than 50% of Americans have Prime memberships (meaning that they are heavy Amazon users), so this position can be leveraged by Amazon to drive penetration. The company's Chinese arm (Beijing Century Joyo, which it acquired some years back) has filed with Chinese authorities as a handler of goods bound for ports in Japan, Europe and the U.S. In the U.S. it is registered as an ocean freight forwarder. Amazon has also said in a recent SEC filing that it considers companies with fulfillment and logistics services for themselves or third parties its competitors. The media reports also say that Amazon has a grand plan for a global distribution system wherein it will pick up goods directly from sellers and ship to end customers. The huge volume of goods it will thus handle will fetch wholesale discounts, which when transferred to small or medium sized sellers will make Amazon highly competitive. Amazon has been investing heavily in fulfillment centers, trucks and containers and its Fulfillment by Amazon (FBA) service has been doing well. It recently bought some planes and also has self-designed drones in the works.
- ▲ Amazon.com generates **strong cash flows**. The nature of the retail business does not leave too much room for differentiation, so price competition is intense. However, despite the seasonality in its business and the resultant fluctuation in gross margins, operating margins do not move around that much. This is because of a relatively flexible operating cost structure, which allows the company to curtail technology and content expenses in particular when margins are impacted by discounts and promotions to boost sales during the holiday season. Given these factors, revenue growth and the expansion of business are the primary drivers of cash flows. However, management has been investing in the business aggressively over the last few years, mostly transferring gross profit gains into fulfillment and technology & content. We consider these investments essential in driving the next growth phase and protecting against cannibalization of its traditional media business. Moreover, these investments have increased automation in the fulfillment centers and led to huge volumes of quality content, which along with strong growth in third party units are positives for gross margins. The increased investment on the AWS side, despite being a drag on profits initially, has paid off big time.
- ▲ Amazon has a **strong balance sheet**, with cash and short-term investments of \$21.53 billion. The company added some debt in 2014 at attractive rates that will help it to generate cash for expansion. This led to insufficient interest coverage in 2014 that was completely reversed in 2015 as the AWS business took off. Cash and short term investments constituted around 31.1% of the total assets and the debt cap ratio (including long-term liabilities) was 79.3% at the end of the last quarter.

Reasons To Sell:

- ▼ There is a downside to a growing international business in the current economic environment. While expansion opportunities automatically increase, **currency** also starts playing a bigger role. Currency continues to have a significantly negative impact on its e-commerce results, which is now being offset by strength in AWS. Since the dollar remains strong at the moment and the situation may not change much for the rest of the year as well, there will be pressure on Amazon's profitability. The risk should be hedged however as AWS increases in the mix. Management stated that AWS revenues were dollar-denominated while a lot of the assets were located in low-cost regions meaning that reduced competitiveness from the rising dollar would potentially be compensated by lower costs. Also note that once companies have migrated to its AWS platform, it will be difficult to switch or stop using it, leading to a situation of relatively inelastic demand.
- ▼ The AWS business is bringing an **element of cyclicality** into the business. Generally, a capital intensive business means that the company will have to periodically sacrifice profits to build out infrastructure and then wait for customers to fill up the capacity thus created. So there will be periods during which the company will build out at the cost of profits and cash flows followed by periods during which the increased operating leverage will translate into improved profitability. AWS is still a small percentage of Amazon's total business, but still has a significant impact on its profitability because of the low-margin profile of the retail business. As AWS grows as a percentage of sales, it will become a greater influence on profitability.
- ▼ **Prime's saturation in the U.S. market** is apparent, because Amazon has very high penetration rates in the country. This led management to announce a tiered pricing system, wherein users can try out a monthly subscription if they are unsure about the program or don't want to pay upfront for the whole year. This plan brings flexibility to the pricing system, so is likely to remain. It should also increase penetration amongst the less affluent households. Just how much of an effect it has on the business is something we'll have to wait and see (and also hope Amazon enlightens us about).
- ▼ The **competition in online retail** is heating up. Traditional retailers have always provided the strongest competition and a number of them are running e-commerce sites as well. Additionally, the increased use of the Internet in both developed and developing economies is attracting other players into the space. Affiliation programs are being used by big players such as eBay. Several smaller companies could also find their own niche. While the Chinese market appears ripe and Amazon has initiatives to increase penetration in the market, local company Alibaba.com is very well-entrenched there. In China, Amazon has to contend with not only

Amazon has increased operating expenses to support expansion of its business into new markets and territories, localize the availability of products and grow its volume of content.

Alibaba, but also a growing number of other home-grown players. Additionally, Alibaba is now targeting the American market, which will greatly increase competition for Amazon. Further, since Amazon's first mover advantage is likely to moderate over time, some market share erosion seems inevitable.

- ▼ Amazon continues to **invest heavily on fulfillment centers, TV shows and movies, AWS, India expansion** and what not. In India, the company is making massive investments to build a logistics network that would cover the entire country. The \$5 billion investment plan is well on track but at the cost of global margins. Management has indicated that Amazon will continue with its push into the Indian e-commerce market, making the nation its fifth largest market after the U.S., the U.K. Japan and Germany. That being said, Amazon's global margins are likely to be under pressure at least for a few years in the future.
- ▼ Most retail businesses tend to be **seasonal** and Amazon's is no different. The company's revenues get a huge boost from the holiday season each year. Over 32% of its 2016 revenues were generated in the fourth quarter of 2016, compared with 33% in 2015 and 2014 and 34% in 2013. With such a huge contribution from the fourth quarter, there is an obvious drop-off in the first quarter. The dependence on consumer spending makes the business lumpy, increasing the possibility of expectations going awry. However, management usually provides a fairly conservative guidance and reported revenues are usually within the guided range.

Last Earnings Report

Amazon (AMZN) Beats Earnings and Revenue Estimates in Q1

Amazon.com's first-quarter 2016 earnings per share (EPS) of \$1.48 surpassed the Zacks Consensus Estimate of \$1.03.

Also, revenues of \$35.71 billion exceeded the consensus mark of \$35.39 billion. The stock was up 1% in response to the higher-than-expected first-quarter earnings. Strong cloud computing sales, higher revenues from advertising and media streaming services also drove results.

Though the North America and international segments were down in the last quarter, they improved from the year-ago quarter. Improvements in AWS were driven by operating efficiencies and increased utilization of assets.

Revenues

Amazon reported revenues of \$35.71 billion, down 18.4% sequentially but up 22.6% from the year-ago quarter. Quarterly revenues were above the guidance range of \$33.25–\$33.75 billion.

Both product and service sales were down sequentially but up year over year. Service sales grew a lot stronger than product sales from the year-ago quarter (up 40.2% compared with product sales growth of 15.3%). Revenue distribution between the two was 66%/34%.

Segment Details

The North America segment accounted for around 59% of sales, representing a sequential decrease of 20% but a year-over-year increase of 23.5%.

The International segment accounted for 31%, down 20.8% sequentially but up 15.6% year over year.

The AWS segment was up 3.5% sequentially and a massive 42.7% year over year with revenue share at nearly 10%. AWS is gaining momentum with customers including McDonald's, Workday, Capital One, Salesforce, GE Oil & Gas, Kellogg's, Brooks Brothers, Ferrara Candy Company, GPT Group, Hoya Corporation, Lionsgate, Macmillan Publishers India, RWE Czech Republic, and Bart & Associates Inc. Amazon remains the cloud infrastructure leader, well ahead of Microsoft, International Business Machines Corporation and Alphabet.

Gross Margin

Gross margin was up 337 basis points (bps) sequentially and 194 bps year over year to 37.2%.

Sequential variations in gross margin were largely mix-related, although increased investments were also a factor. Growth in AWS had a positive impact on margin. Pricing is also an important factor, given the increase in product categories all over the world and Amazon's strategy of heavily discounting products and services while building position in any market. Third party sites did better than retail, which was also a positive.

Net income was down 3.3% sequentially but up 41.1% year over year.
Operating Performance.

Amazon's operating expenses of \$12.3 billion were down 9.3% sequentially but up 33.5% from the year-ago quarter. Amazon's heavy investing activities (headcount, fulfillment centers, content, etc) over the past few quarters have been pushing up its costs.

The net result was an operating margin of 2.8%, down 6 bps sequentially and 86 bps from the year-ago quarter. Amazon reported an operating profit of \$1 billion compared with \$1.3 billion in the previous quarter and \$1.1 billion in the year-ago quarter.

Net Income

Quarter Ending 03/2017

Report Date	Apr 27, 2017
Sales Surprise	0.92%
EPS Surprise	43.69%
Quarterly EPS	NA
Annual EPS (TTM)	5.32

Amazon generated first-quarter net income of \$724 million, or 2% of sales, compared with \$749 million, or 1.7% in the previous quarter and \$513 million, or 1.8% of sales in the same quarter last year. There were no one-time items in the fourth quarter. Therefore, the GAAP EPS was the same as the pro forma EPS of \$1.48 compared with \$1.54 in the previous quarter and \$1.07 in the year-ago quarter.

Balance Sheet and Cash Flow

Amazon ended the quarter with cash, cash equivalents and marketable securities balance of \$21.53 billion, down \$4.45 million from the prior quarter.

The company used \$1.59 billion of cash from operations, spending \$1.86 billion on fixed assets (including internal-use software and website development costs) and \$45 million on acquisitions. Principal repayments of capital lease obligations were \$832 million in the first quarter.

Guidance

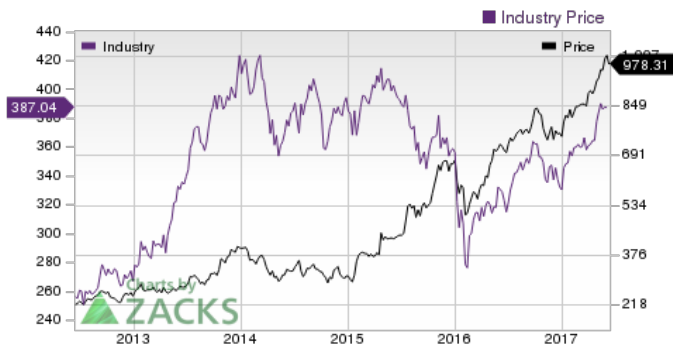
Management provided guidance for the second quarter of 2017. Revenues are expected to include a \$720 million or 240 bps negative FX impact and come in around \$35.25–\$37.75 billion. The Zacks Consensus Estimate is pegged at \$36.92 billion. Operating income is expected to come in at approximately \$425 million–\$1.075 billion.

Recent News

On **May 30, 2017**, Amazon shares touched the \$1000 price milestone. Shares hit a new all-time high of \$1001.2, before closing a tad lower at \$996.7. It is the fifth company to have a quadruple digit price tag after Berkshire Hathaway's Class A shares, Seaboard, NVR Inc. and Priceline.

On **May 11, 2017**, Amazon's online grocery business, AmazonFresh is being expanded to a new area – Milwaukee. The service will now offer thousands of essentials to members in Milwaukee. The regions where this grocery service will be available include Milwaukee, Mequon, Menomonee Falls, Wauwatosa, Brookfield, Waukesha, West Allis, New Berlin, Greenfield, Oak Creek, Franklin, Muskego and Caledonia.

On **Apr 10, 2017**, Amazon agreed to pay \$50 million to stream 10 NFL games during the upcoming 2017 season. Amazon will not have exclusive rights to these 10 games, as the NFL's big television partners, CBS, NBC and its own NFL Network, will split up coverage of the same 10 games for the traditional broadcast and cable television audience.



JD.com, Inc. (JD)	1
Alibaba Group Holding Limited (BABA)	3
The Priceline Group Inc. (PCLN)	3
eBay Inc. (EBAY)	3
Expedia, Inc. (EXPE)	3
ZALANDO SE ADRS (ZLNDY)	4
Wayfair Inc. (W)	3
Groupon, Inc. (GRPN)	3
IAC/InterActiveCorp (IAC)	3

Industry Comparison Internet - Commerce Position in Industry: 7 of 23				Industry Peers		
	AMZN 3	X Industry	S&P 500	JD 1	BABA 3	PCLN 3
Market Cap	461.20 B	1.10 B	21.22 B	56.02 B	351.87 B	89.09 B
# of Analysts	31	6	13	12	17	17
Dividend Yield	0.00%	0.00%	1.82%	0.00%	0.00%	0.00%
Growth Score	A	-	-	D	F	D
Hist. EPS Growth (3-5 yrs)	35.96%	21.16%	7.10%	54.17	58.39	23.66
Proj. EPS Growth (F1/F0)	34.11%	20.82%	8.98%	543.79	24.41	21.43
Curr. Cash Flow Growth	52.49%	37.78%	5.21%	NA	1.42	1.44
Hist. Cash Flow Growth (3-5 yrs)	43.91%	18.01%	6.49%	10.69	7.51	8.38
Current Ratio	1.06	1.20	1.39	13.16	34.35	26.68
Debt/Capital	26.19%	27.77%	41.94%	490.25	40.91	24.52
Net Margin	1.81%	2.35%	9.92%	1.12	10.65	7.21
Return on Equity	12.07%	9.26%	15.73%	0.21%	2.36%	4.01%
Sales/Assets	1.76	1.00	0.55	0.38	0.24	0.68
Proj. Sales Growth (F1/F0)	22.17%	4.59%	4.86%	-0.02	2.86	93.47
Value Score	F	-	-	A	C	B
Cash/Price	28.68	25.68	8.70	120.00%	29.44%	14.65%
EV/EBITDA	35.81	13.47	12.57	120.00%	30.88%	12.68%
PEG Ratio	5.33	1.79	2.00	-102.87%	38.13%	47.55%
Price/Book (P/B)	21.57	7.34	3.18	NA	NA	30.45%
Price/Cash Flow (P/CF)	40.50	14.96	13.35	1.06	1.95	2.15
P/E (F1)	146.84	28.94	18.97	36.54%	19.91%	40.33%
Price/Sales (P/S)	2.78	2.82	2.51	-0.96%	27.51%	20.12%
Earnings Yield	0.67%	1.69%	5.26%	-11.61%	13.52%	32.98%
Debt/Equity	0.35	0.34	0.69	1.68	0.32	0.50
Cash Flow (\$/share)	22.07	1.23	5.39	28.49%	31.20%	15.09%
Momentum Score	B	-	-	B	A	D
Daily Price Chg	-1.37%	0.00%	0.09%	0.56%	-0.26%	-1.58%
1 Week Price Chg	-6.12%	-4.02%	-0.00%	-4.26%	9.40%	-5.69%
4 Week Price Chg	0.72%	-0.09%	1.74%	-2.51%	14.56%	-0.05%
12 Week Price Chg	12.60%	10.21%	2.56%	23.64%	29.68%	2.69%
52 Week Price Chg	34.91%	35.73%	14.77%	86.85%	84.33%	37.82%
20 Day Average Volume	3,246,607	31,423	0	10,515,886	15,989,261	437,826
(F1) EPS Est Wkly Chg	0.00%	0.00%	0.00%	0.00%	3.50%	0.00%
(F1) EPS Est Mthly Chg	-1.94%	0.00%	0.27%	0.00%	5.59%	-0.31%
(F1) EPS Est Qtrly Chg	-8.28%	0.00%	0.92%	260.00%	7.53%	-0.47%
(Q1) EPS Est Mthly Chg	-1.49%	0.00%	0.00%	0.00%	7.38%	0.00%

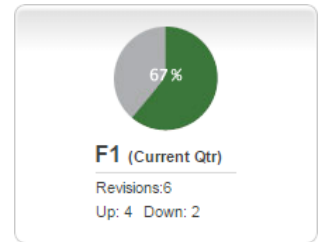
Zacks Rank Education

The Zacks Rank is calculated from four primary inputs: Agreement, Magnitude, Upside and Surprise.

Agreement

This is the extent which brokerage analysts are revising their earnings estimates in the same direction. The greater the percentage of estimates being revised higher, the better the score for this component.

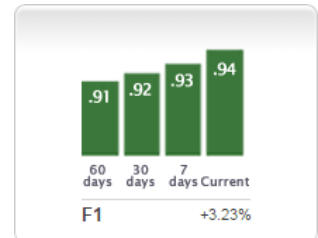
For example, if there were 10 estimate revisions over the last 60 days, with 8 of those revisions up, and the other 2 down, then the agreement factor would be 80% positive. If, however, 8 were to the downside with only 2 of them up, then the agreement factor would be 80% negative. The higher the percentage of agreement the better.



Magnitude

This is a measure based on the size of the recent change in the current consensus estimates. The Zacks Rank looks at the magnitude of these changes over the last 60 days.

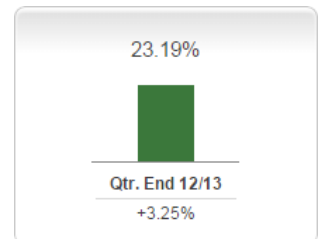
In the chart to the right, the display shows the consensus estimate from 60-days ago, 30-days ago, 7-days ago, and the most current estimate. The difference between the current estimate and the estimate from 60-days ago is displayed as a percentage. A larger positive percentage increase will score better on this component.



Upside

This is the difference between the most accurate estimate, as calculated by Zacks, and the consensus estimate. For example, a stock with a consensus estimate of \$1.00, and a most accurate estimate of \$1.05 will have an upside factor of 5%.

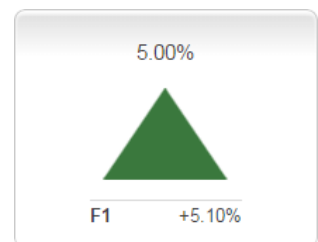
This is not an indication of how much a stock will go up or down. Instead, it's a measure of the difference between these two estimates. This is particularly useful near earnings season as a positive upside percentage can be used to help predict a future surprise.



Surprise

The Zacks Rank also factors in the last few quarters of earnings surprises. Companies that have positively surprised in the recent past have a tendency of positively surprising again in the future (or missing if they recently missed).

A stock with a recent track record of positive surprises will score better on this factor than a stock with a history of negative surprises. These stocks will have a greater likelihood of positively surprising again.



Zacks Style Score Education

The Zacks Style Score is as a complementary indicator to the Zacks Rank, giving investors a way to focus on the best Zacks Rank stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Growth, Value, and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. An A, is better than a B; a B is better than a C; and so on.

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Rank #1 or #2, Strong Buy or Buy, which also has a Style Score of an A or a B.

Value Score	F
Growth Score	A
Momentum Score	B
VGM Score	B

Disclosures

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